advances. The gross NPAs of PSBs were twice as much as those of PVBs. The gross NPAs of FBs were still lower at 2.3 per cent of gross advances.

The intensity of fraud taking place in PSBs is much greater than PVBs and FBs. In 2018–19, 88.5 per cent of the value of fraud reported occurred in PSBs, which declined somewhat to 79.9 per cent in 2019–20.

Continuous losses, high NPAs, and the majority of frauds clearly underline that PSBs are sick.

Banks are For Lending; PSBs are Not Lending

Outstanding bank credit of scheduled commercial banks was Rs 52.6 lakh crore at the end of financial year 2012–13. Outstanding bank credit crossed Rs 100 lakh crore and reached Rs 103.7 lakh crore at the end of financial year 2019–20. It doubled in seven years. In the previous seven years, from 2005–06 to 2012–13, it had risen by more than three-and-a-half times from Rs 15.07 lakh crore in 2005–06 to Rs 52.6 lakh crore.

According to the RBI database, PSBs' loans outstanding were Rs 60.70 lakh crore at the end of 2019–20 whereas PVBs' loans outstanding were Rs 36.13 lakh crore. The credit outstanding of PSBs was Rs 40.71 lakh crore at the end of 2012–13; for PVBs, it was only Rs 10.54 lakh crore. In seven years, the outstanding credit of PSBs grew by Rs 20 lakh crore whereas that of PVBs grew by Rs 15.6 lakh crore. The credit growth of PSBs was less than 50 per cent in seven years while the PVB loan book grew by about 150 per cent.

Outstanding credit of PSBs was Rs 52.04 lakh crore at the end of 2016–17, whereas that of PVBs was Rs 21.27 lakh crore. In 2017–18, 2018–19 and 2019–20, the PSB loan book grew by only Rs 8.66 lakh crore whereas the outstanding credit of PVBs grew by as much as Rs 14.86 lakh crore. Credit growth of PSBs was less than 37 per cent of their aggregate loan growth of Rs 23.52 lakh crore.